

	SDF-news residual		
	1	2	3
Panel A: Null hypothesis of variance constant over time, against volatility clustering			
ARCH(1) (p)	0.000***	0.000***	0.897
Panel B: Null hypothesis of variance unrelated to Z, against Z-driven heteroskedasticity			
White (p)	0.000***	0.000***	0.000***
Breusch–Pagan (p)	0.000***	0.000***	0.000***
Goldfeld–Quandt (p)	0.000***	0.000***	0.000***
Harvey (p)	0.000***	0.000***	0.001***
Anscombe (p)	0.000***	0.000***	0.001***
Glejser (p)	0.000***	0.000***	0.000***
Breusch–Pagan LM (p)	0.000***	0.000***	0.000***
Panel C: Relevance and endogeneity diagnostics			
$\text{Cov}(Z, \omega_2^2)$	58.737	0.761	0.036
$\text{corr}(Z, \omega_2^2)$	0.409	0.339	0.220
t -stat of ω_2 -on- Z	-1.203	-0.656	-0.653
$\text{corr}(\omega_1, \omega_2)$	0.167	0.037	-0.064
$[\text{Cov}(\omega_1, \omega_2)/\text{Var}(\omega_2)] \cdot \text{sd}(\omega_2)/\text{sd}(\Delta c)$	0.162	0.036	-0.062
$[\text{Cov}(\omega_1, \omega_2)/\text{Var}(\omega_2)] \cdot \text{sd}(\omega_2)$	0.167	0.037	-0.064
$\det \widehat{M}_Z$	1.18		
$\kappa(\widehat{M}_Z)$	1.78×10^3		
$\sigma_{\min}(\widehat{M}_Z)$	0.0331		
Kleibergen–Paap rk (p)	0.007***		